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TAX & ADVISORY

FREE RESOURCE

The Tax Advisory *Readiness Guide*

> What every business owner, investor, and property owner should understand before meeting with a tax advisor — and why it changes everything.

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A NOTE FROM BRANDON

Most people come to a tax advisor *too late*

Not too late in life — too late in the year. They show up in February with a shoebox of receipts and hope for the best. By then, most of the opportunities to actually reduce their tax bill have already passed.

> *"Tax preparation is looking backward. Tax advisory is looking forward. The best results happen when you do both — year-round."*

This guide isn't about gathering your documents. There are plenty of checklists for that. This is about something more valuable: understanding *how to think about your taxes* so that when you do sit down with an advisor, you're having a different kind of conversation.

WHAT THIS GUIDE COVERS

5 questions every business owner should be able to answer about their tax situation · **The real difference** between a tax preparer and a tax advisor · **A year-round calendar** of what proactive tax planning actually looks like · **Common missed opportunities** by situation type · **How to prepare** for your first advisory conversation

Who this is for: Small business owners, self-employed professionals, rental property owners, and investors who are ready to stop reacting to their taxes and start planning around them. If you have complexity in your financial life — multiple income streams, a business, property, investments — this guide is for you.

PART 1

5 questions every business owner should be able to *answer*

These aren't trick questions. But if you can't answer them confidently, it's a signal that there's real opportunity being left on the table.

Question 01

"Do you know your effective tax rate — and what's driving it?"

WHY IT MATTERS

Most people know roughly what they paid last year. Far fewer know *why* they paid that amount — and what could change it. Your effective rate is the starting point for every planning conversation. If you don't know it, you can't measure whether your strategy is working.

→ Advisory goal: Understand and reduce this number year over year

Question 02

"Are you structured correctly for the income you're earning?"

WHY IT MATTERS

Sole prop, LLC, S-Corp, C-Corp — each has different tax implications, especially around self-employment tax. A business earning $150k as a sole prop often pays $20k+ more in taxes than the same business structured as an S-Corp. Entity structure is one of the highest-leverage decisions you'll make.

→ Advisory goal: Confirm your structure matches your income level and goals

Question 03

"Are you making estimated quarterly tax payments — and are they accurate?"

WHY IT MATTERS

Underpaying estimated taxes triggers IRS penalties before you even file. Overpaying means you've been giving the government an interest-free loan all year. Getting this dialed in keeps cash flow predictable and eliminates April surprises.

→ Advisory goal: Accurate quarterly payments — no surprises, no penalties

Question 04

"Do you know which deductions you qualify for — and can you document them?"

WHY IT MATTERS

The tax code is full of legitimate deductions that most people miss — not because they don't qualify, but because they don't know to look for them or haven't kept the documentation to support them. Home office, vehicle use, retirement contributions, Section 179 depreciation, cost segregation on real estate — these add up fast. An audit without documentation is a deduction lost.

→ Advisory goal: Identify every deduction you qualify for and build the paper trail

Question 05

"What is your tax plan for next year — right now?"

WHY IT MATTERS

This is the question that separates reactive clients from proactive ones. If your answer is "I haven't thought about it yet," that's the most expensive position to be in. The strategies that make the biggest difference — maxing retirement accounts, timing income and deductions, adjusting withholding, making charitable moves — only work if you plan for them before December 31st.

→ Advisory goal: A written plan with action steps before year-end, every year

THE HONEST TRUTH

If you could answer all five of these confidently, you likely wouldn't need this guide. Most business owners can answer one or two. The gap between what you're doing and what's possible is where a good advisor earns their fee — **many times over.**

PART 2

Reactive vs. Proactive: *the real difference*

Most people have a tax preparer. Far fewer have a tax advisor. Here's what that distinction actually looks like in practice.

A TAX PREPARER…	A TAX ADVISOR…
Files your return accurately based on what happened	Plans ahead to change what happens before year-end
Contacts you once a year, at tax time	Is in your corner year-round — not just April
Tells you what you owe	Works to reduce what you'll owe next year
Applies standard deductions	Actively hunts for every deduction you qualify for
Reviews your situation once a year	Monitors changes in your life and adjusts your strategy
Tells you your entity structure is "fine"	Analyzes whether a restructure would save you money
Sends you a bill after filing	Charges a flat rate — no surprises, no hourly billing

> *"Your accountant should be saving you more than they cost you. If they're not — that's worth examining."*

The advisory difference in numbers: A business owner earning $200k/year who switches from reactive to proactive tax management typically saves $8,000–$25,000+ annually through entity optimization, retirement strategy, deduction maximization, and timing. The higher the income and the more complexity in your situation, the larger that number gets.

PART 3

What proactive tax planning *actually looks like*

A year-round calendar of what you should be thinking about — and what a good advisor should be doing for you.

JANUARY – MARCH

- Gather and review prior-year documents
- File or extend personal & business returns
- Review prior-year advisory notes — are you on track?
- Issue W-2s and 1099s (January)

APRIL – JUNE

- Q1 estimated tax payment due (April 15)
- Review Q1 financials — P&L, cash flow
- Mid-year entity structure review
- Q2 estimated payment due (June 15)

JULY – SEPTEMBER

- Mid-year tax planning check-in
- Review withholding — adjust if needed
- Retirement contribution strategy review
- Q3 estimated payment due (Sept 15)

OCTOBER – DECEMBER

- Year-end tax planning — most critical window
- Income/deduction timing decisions
- Max retirement accounts before Dec 31
- Charitable giving strategy (DAF, bunching)
- Q4 estimated payment due (Jan 15)

THE DECEMBER 31ST RULE

Most tax-saving strategies have a hard deadline: December 31st of the tax year. After that date, your options to reduce that year's liability are nearly zero. **This is why year-round advisory matters.** Everything that changes your tax bill happens before you file — not during.

PART 4

What to think about *for your situation*

Tax strategy isn't one-size-fits-all. Here are the most commonly missed opportunities by situation type — and the questions worth bringing to an advisor.

Business Owner

- Is your entity structure optimized for self-employment tax?
- Are you maximizing retirement contributions (Solo 401k, SEP IRA)?
- Are you tracking all deductible business expenses?
- Do you have a written year-end tax plan?
- Are your books clean enough to support a deduction if audited?

Rental Property Owner

- Are you capturing all allowable rental deductions?
- Have you considered a cost segregation study?
- Do you qualify as a real estate professional (REP status)?
- Are your passive activity losses being tracked properly?
- Is your depreciation schedule accurate and up to date?

Investor

- Are you timing gains and losses strategically (tax-loss harvesting)?
- Are you holding assets long enough for long-term capital gains rates?
- How are crypto transactions being tracked and reported?
- Is your charitable giving strategy optimized (DAF, appreciated assets)?

BEFORE YOUR FIRST ADVISORY CONVERSATION — BRING THESE

- [ ] Last 2 years of filed tax returns
- [ ] Current business structure / formation docs
- [ ] Most recent P&L and balance sheet
- [ ] Estimated income for this year
- [ ] List of current retirement accounts
- [ ] Any major financial events planned (sale, raise, hire)
- [ ] Your biggest tax frustration or unanswered question
- [ ] Your financial goals for the next 12 months

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READY TO TAKE THE NEXT STEP?

You now know what to *ask for*.

This guide gave you the framework. The conversation is where the real work begins — and it starts with a free, no-pressure consultation.

01 **Set up your free client portal — under 60 seconds**
Visit portal.mondragonbookkeeping.com — create your account and message Brandon directly. No commitment, no intake form, just a direct line.

02 **Book a free consultation**
We'll walk through your situation, answer your questions, and I'll tell you honestly what you need — and whether I'm the right fit for it.

03 **Get ahead — and stay there**
No more April surprises. No more guessing. Just clean books, a clear plan, and someone who's always a step ahead with you.

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